

ECOPERSPECTIVES

October 2026

Advanced Economies: Resilience to shock after shock

By Advanced Economies Team

ECONOMIC RESEARCH
by BNP PARIBAS



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Advanced economies: Resilience to shock after shock

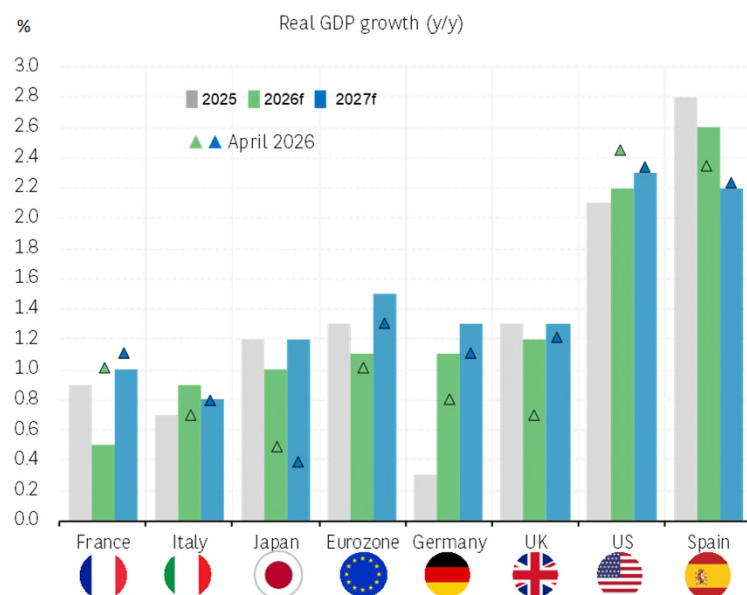
- The global economy is in the midst of a growth cycle. As a result, GDP growth is more resilient to shocks than initially anticipated.
- The figures for the second quarter bear this out, despite the sharp rise in oil prices, whose negative impact on growth is offset by a series of reflationary forces.
- The driving force behind the current growth cycle is clear: artificial intelligence (AI).
- The world's major economies are currently engaged in a broader push to expand their capital goods investment.
- While European and US households are experiencing more or less the same energy price shock, inflation and household consumption remain higher in the US.
- Higher and above-target inflation calls for monetary tightening.
- Inflation is exceeding the target set by three of the four central banks examined in this publication (the US, the UK, the Eurozone). Inflation is currently expected to peak in Q4 2026 or Q1 2027, but there is a significant risk that energy inflation will spread further to other components of inflation in the future.
- Inflation can also be a sign of (too much) economic strength (in the US).
- Monetary policies also have to offset the inflationary effects of fiscal policy (particularly in Japan).
- The outbreak of the conflict in Iran acted as a catalyst: the ensuing rise in energy prices contributes to the recent increase in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2002.
- The other issue is the high level of fiscal deficits (too high for a period of growth), reflecting different fiscal trajectories. In the US, the UK, France and Germany the public debt-to-GDP ratio is increasing, while it has stabilized in Italy and decreased in Spain and Japan.
- The rise in long-term interest rates will weigh on public finances. The fiscal arithmetic is simpler today than it will be in 2030. By 2030, the effective rate will have risen and caught up with GDP growth.

For more information, please refer to our publication:

[EcoPerspectives – Advanced Economies | 3rd quarter of 2026, as of September 24, 2026 – Economic Research – BNP Paribas](#)

Advanced Economies: Resilience to shock after shock (forecasts as of September 30)

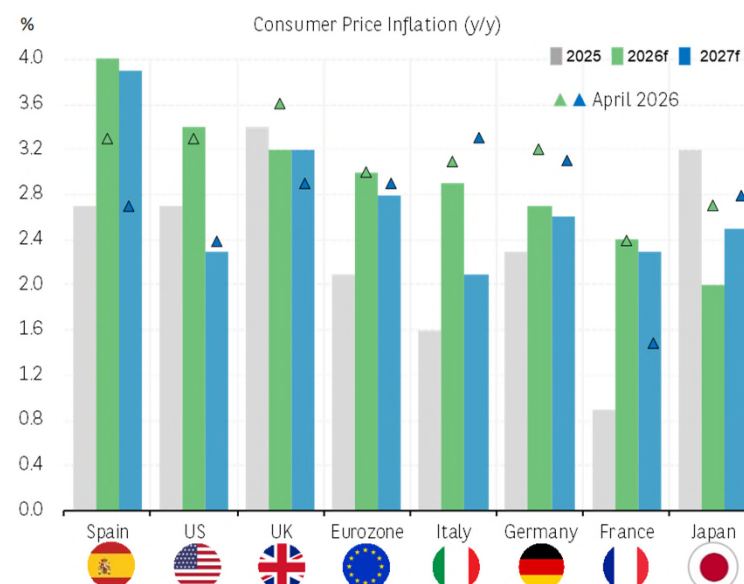
GDP growth is expected to strengthen in 2027



Countries sorted in ascending order in 2026

Source: LSEG, BNP Paribas forecasts

Inflation is expected to remain above central bank targets in the coming months



Countries sorted in descending order in 2026

Source: LSEG, BNP Paribas forecasts



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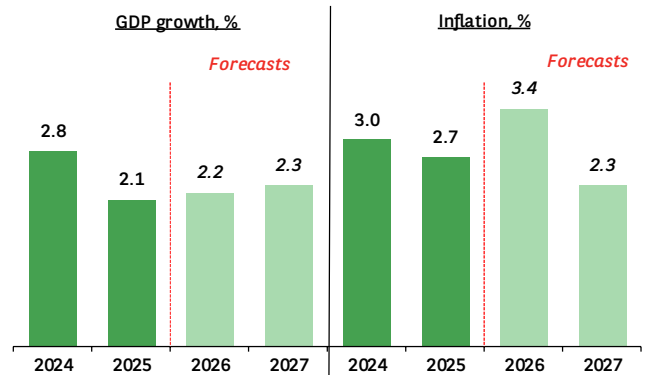
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United States: Expansion intact through successive shocks

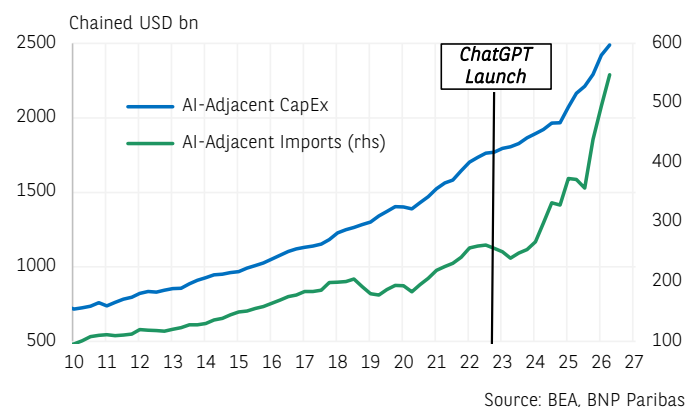
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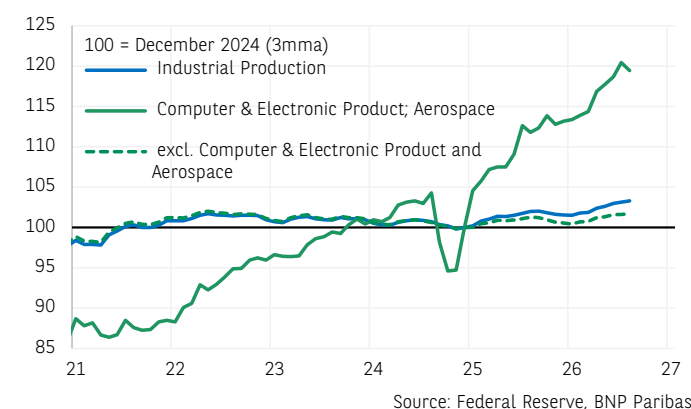
Growth holds shock after shock



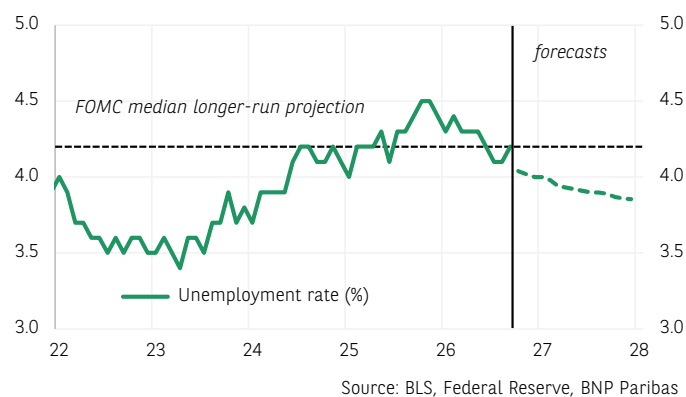
AI-adjacent CapEx powers growth... and imports



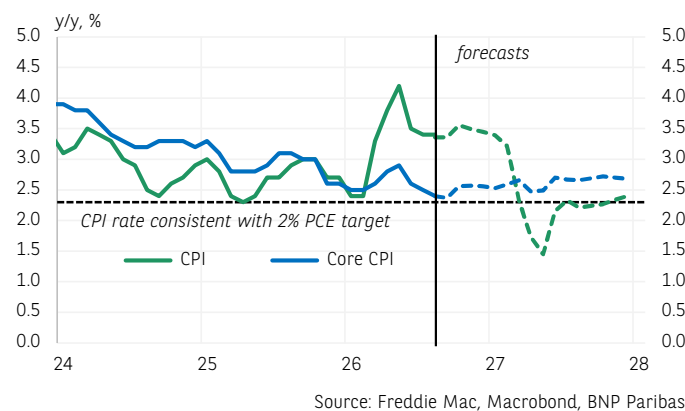
A narrowly-led manufacturing recovery



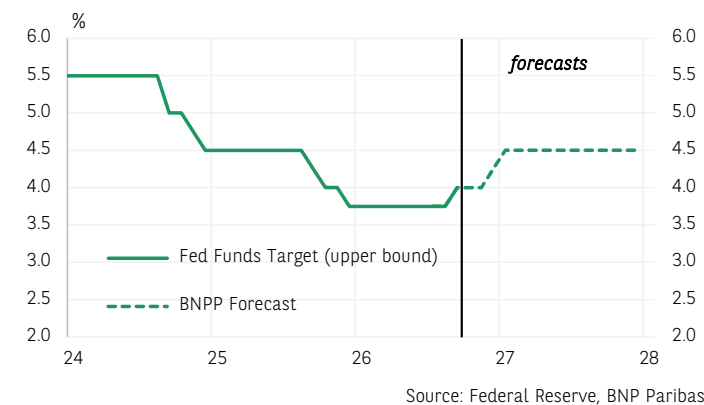
Higher demand and lower supply push unemployment down



Core inflation remains sticky and above target



2025 rate cuts set to be unwound as the labour/prices balance shifts



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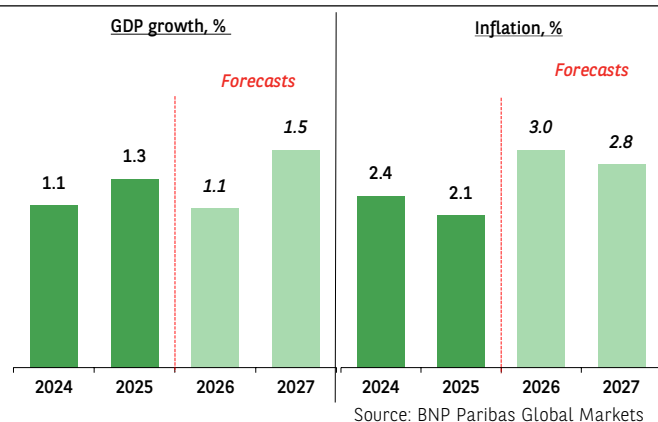
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Eurozone: Growth on track despite the turbulence

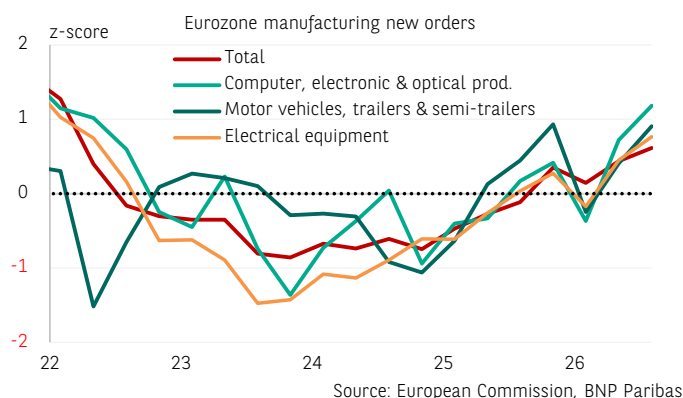
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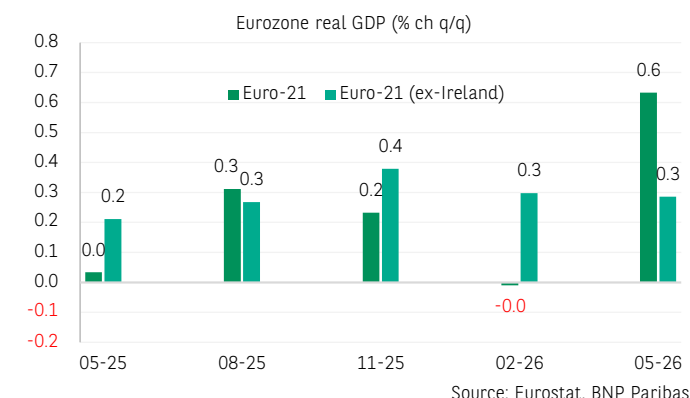
Beyond the shocks, a resilient momentum



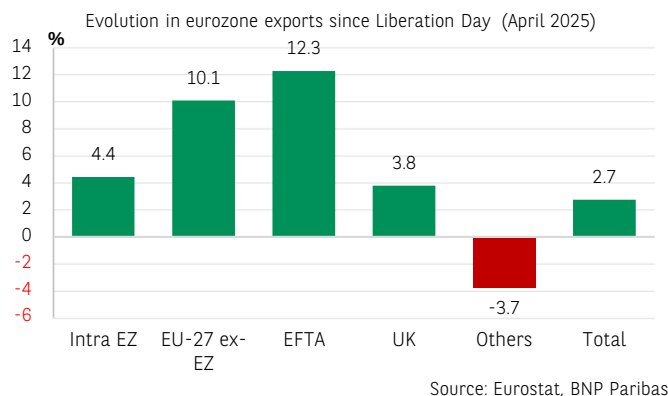
A broader recovery in industrial activity is on the horizon



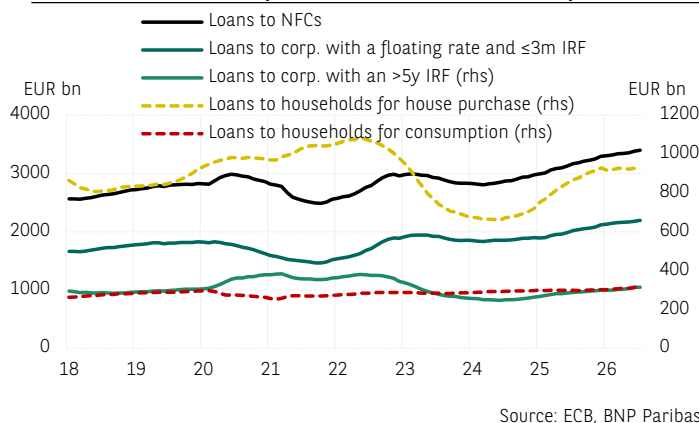
Looking beyond the Irish data: growth is holding up



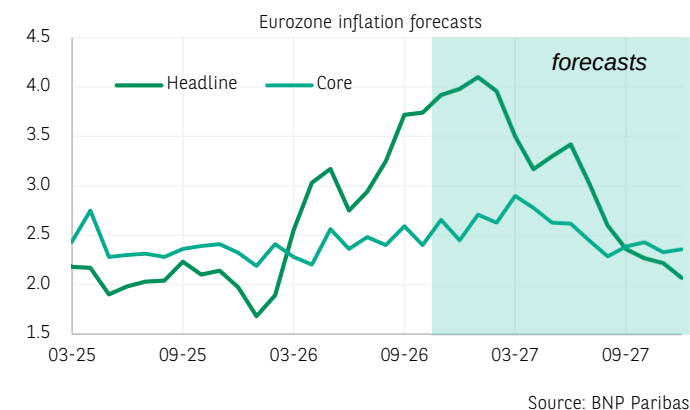
Exports to Europe help offset weaknesses in other markets



New loans remain favorable despite interest rates' increase (cumulated over 12 months)



Peak in inflation expected at the beginning of 2027



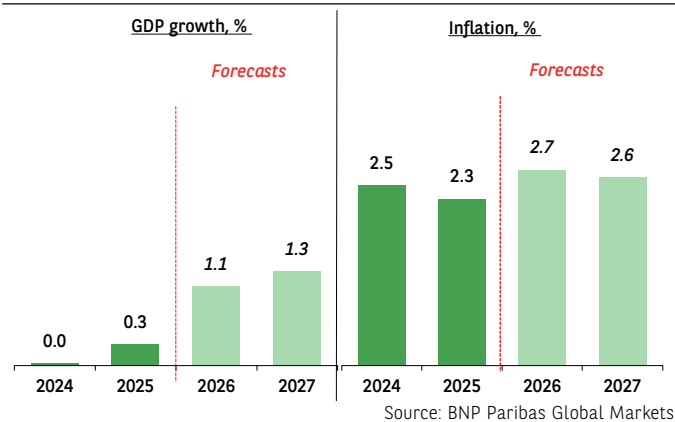
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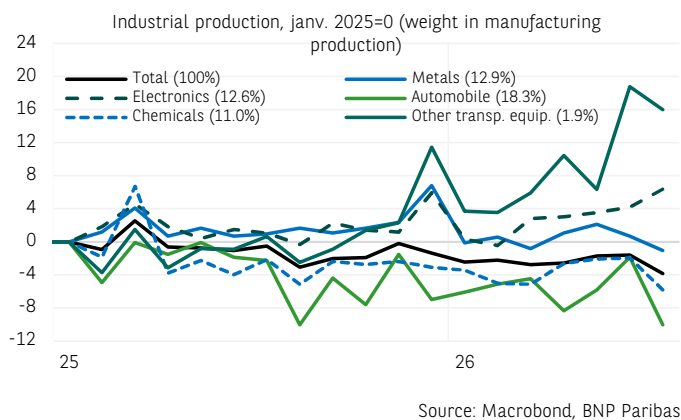
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Germany: An export-driven recovery

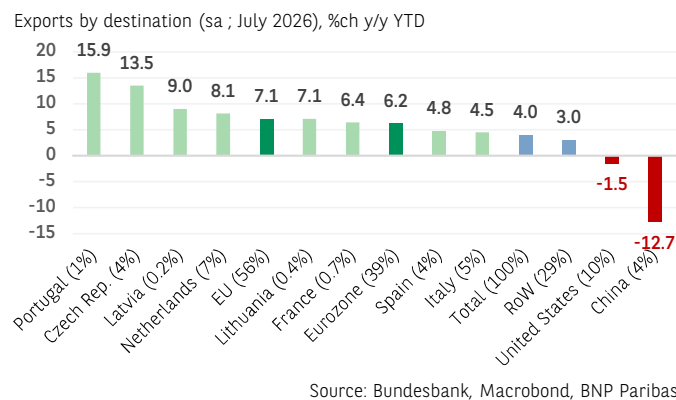
German growth should strengthen in 2026 and 2027, but inflation too



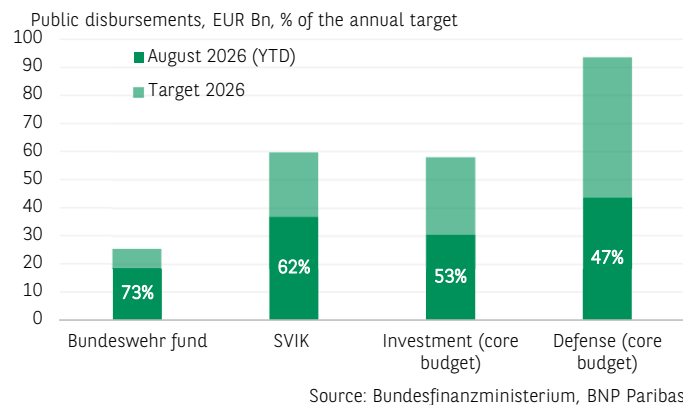
... driven by AI investments and intra-European momentum



The intra-European reorientation of German exports is underway



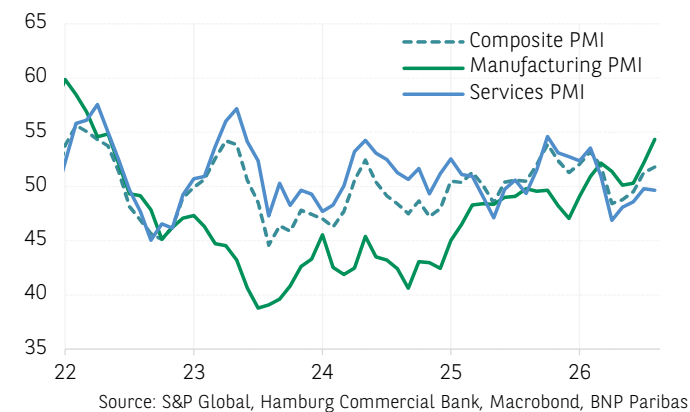
The increase in public expenditure reflects the implementation of investment plans



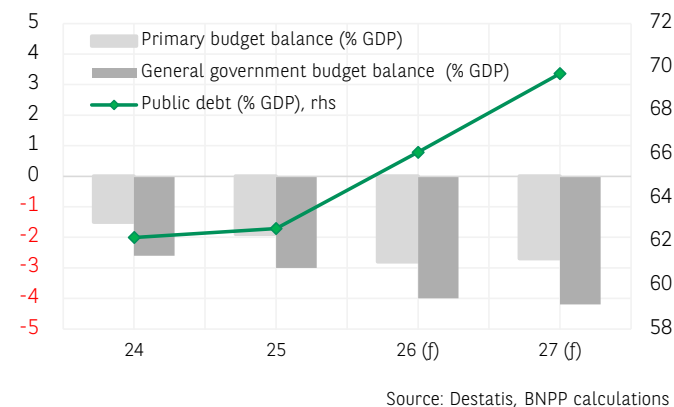
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From a sectoral perspective, industry's restructuring has been leading the recovery ...



Fiscal stimulus continues

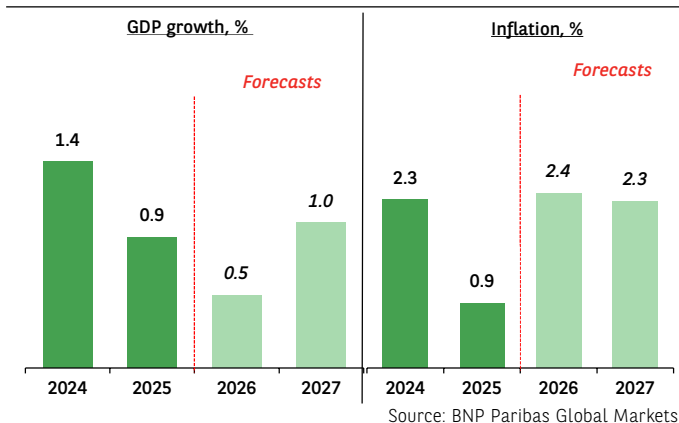


France: Growth is bending, but not breaking

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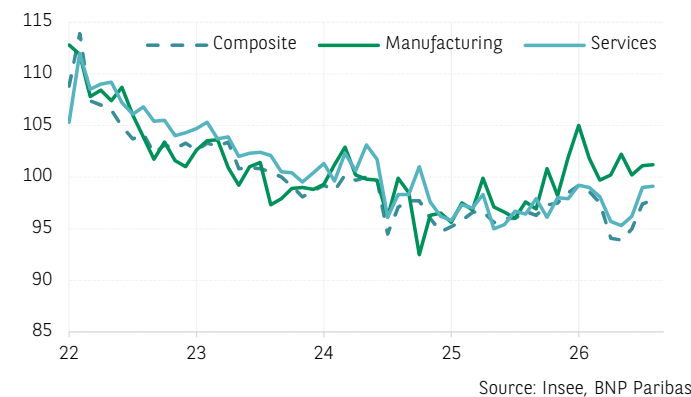
French growth should pick up



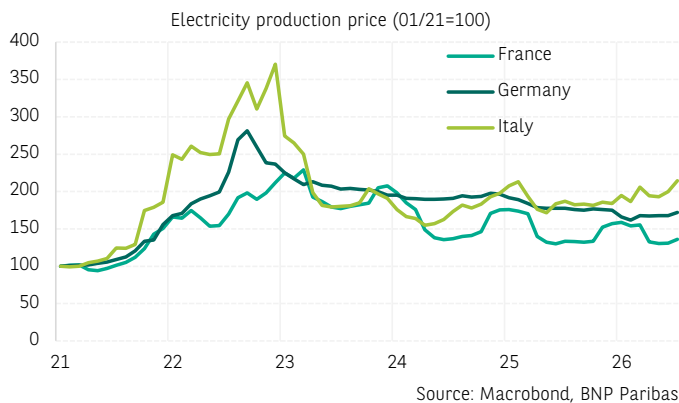
Renewed supply constraints have interrupted the industrial recovery



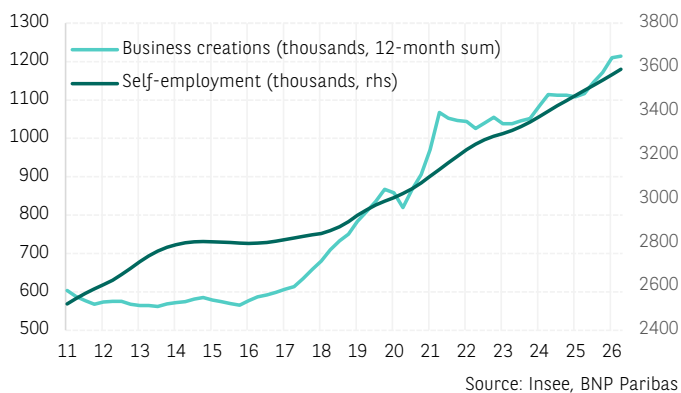
The business climate has well absorbed the rise in inflation



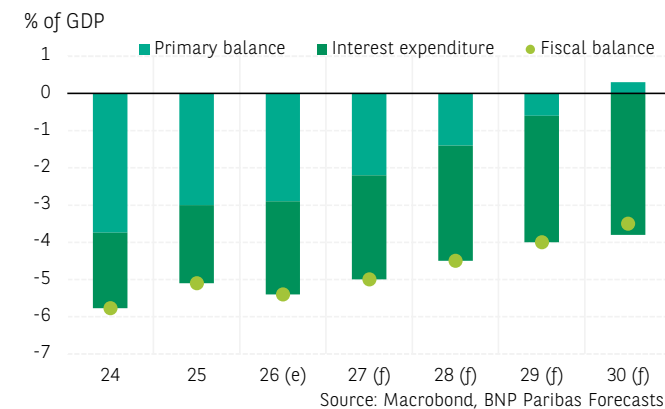
France produces more abundant and cheaper electricity



Business creations and self-employment are developing



The rise in interest payments will put pressure on the fiscal deficit



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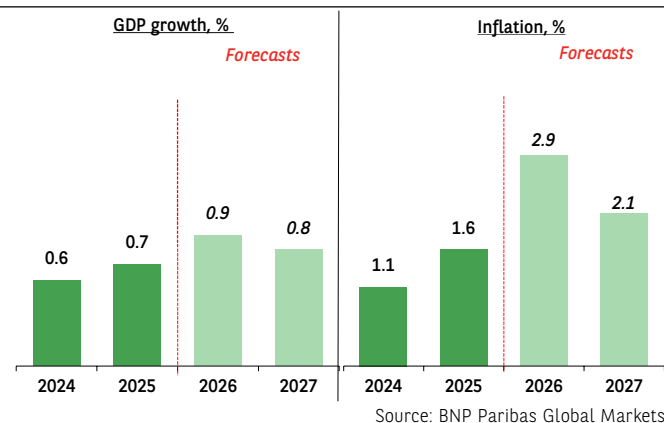
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Italy: European funds bolster growth, while debt constraints persist

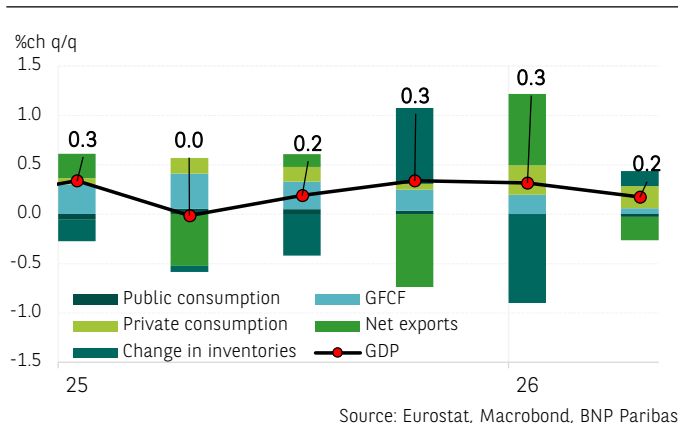
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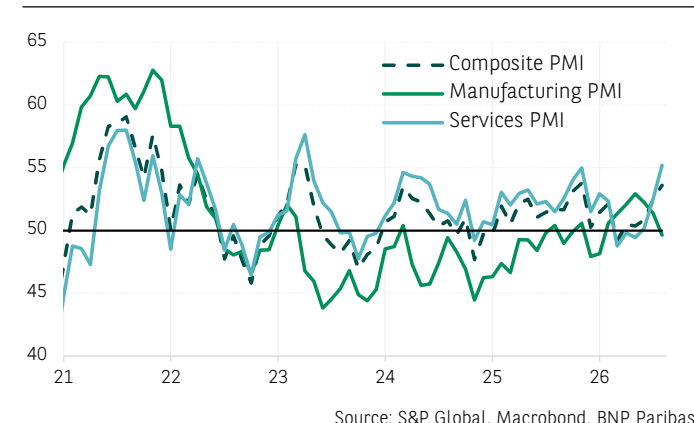
Growth is expected to remain stable and inflation to rise in 2026



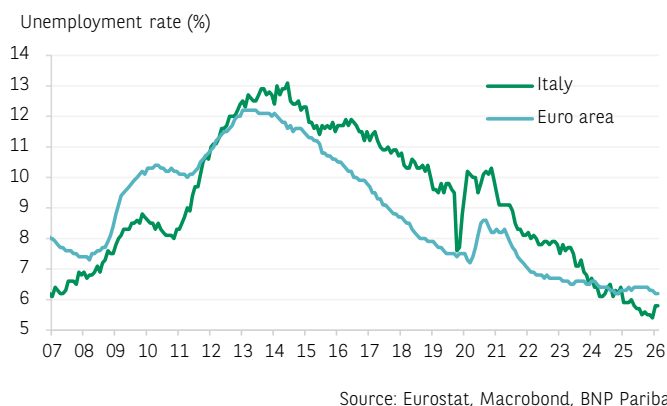
Private consumption and NRRP spending drove GDP growth



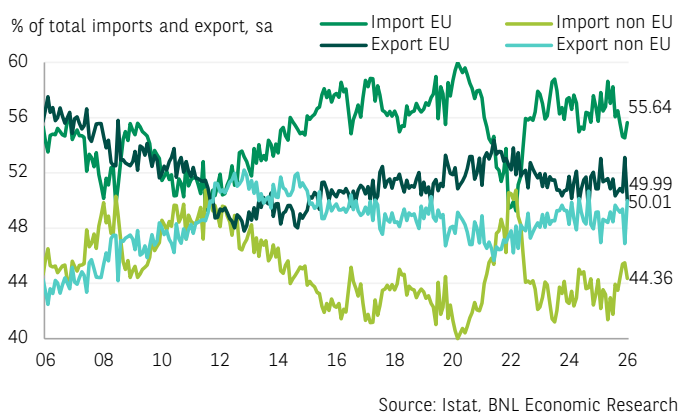
The manufacturing sector lags behind



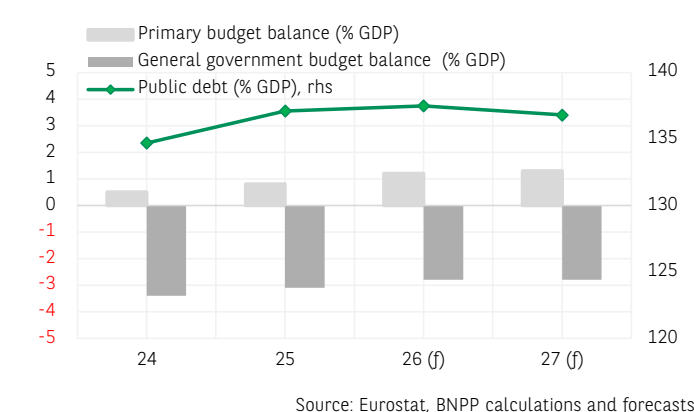
The labour market is tight and demographic prospects add further constraint



Italian foreign trade is holding up well



A lower fiscal deficit, but limited room for manoeuvre

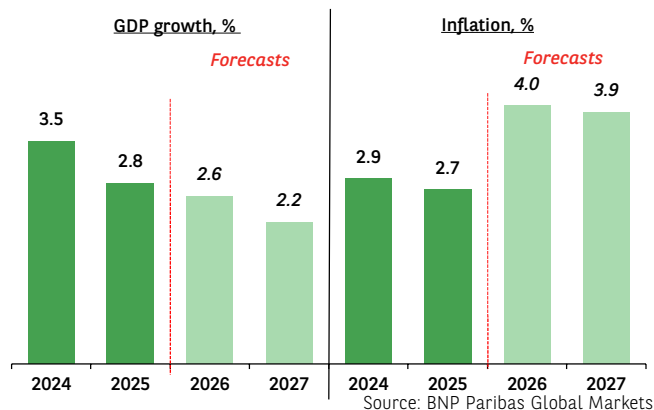


Spain: Robust growth

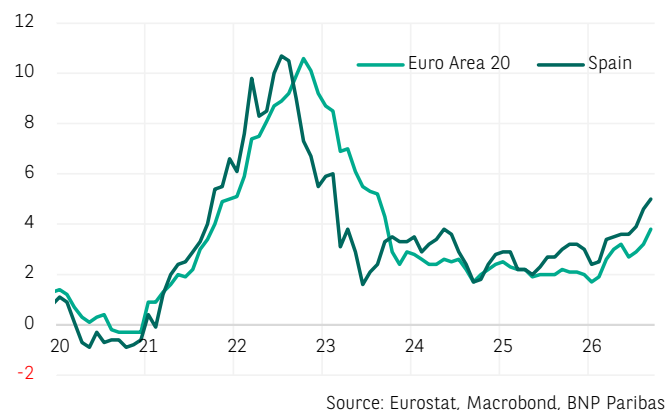
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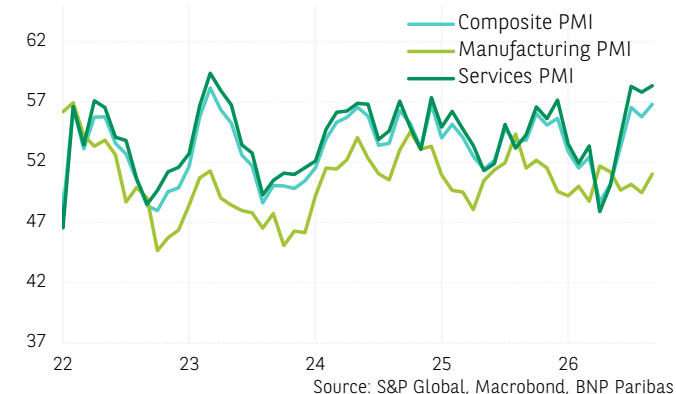
Growth is expected to remain stable at a high level



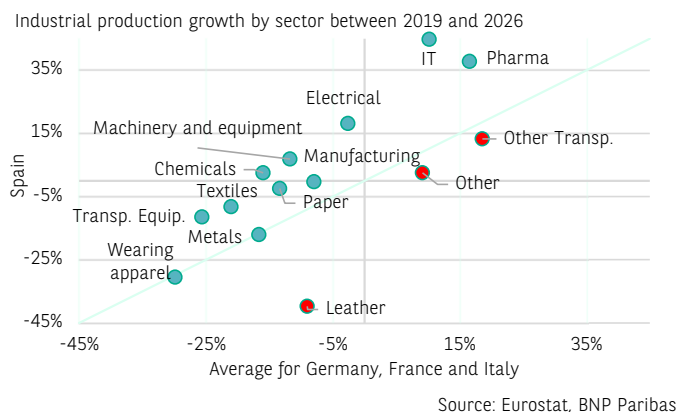
Spain inflation is above Eurozone average



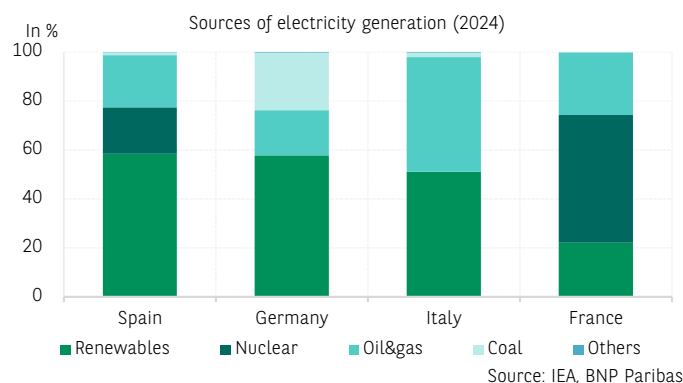
Despite geopolitical uncertainty, the business climate remains resilient



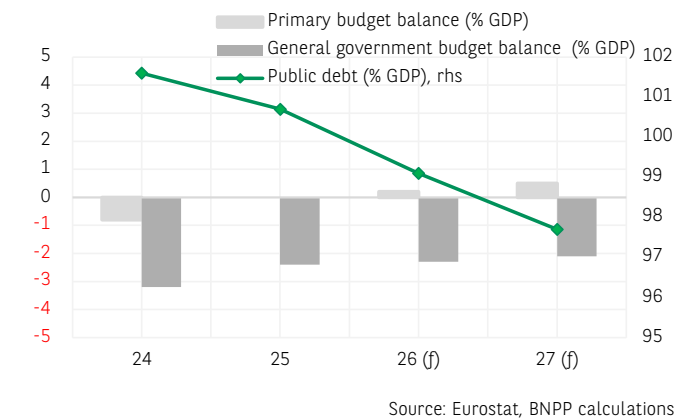
Industry is more competitive than elsewhere in Europe...



... thanks to a sustainable energy advantage



The fiscal trajectory remains favorable



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United Kingdom: Growth remains resilient in front of shocks

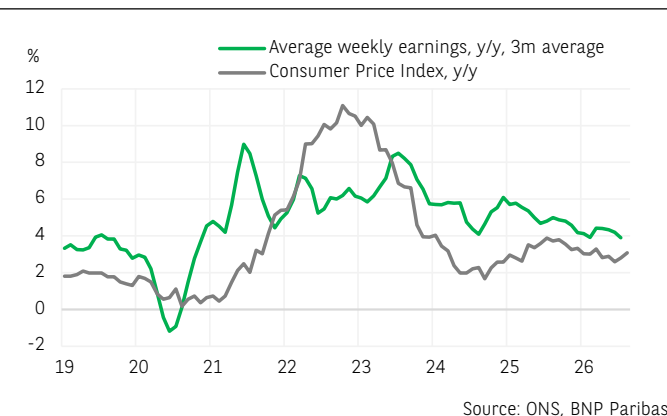
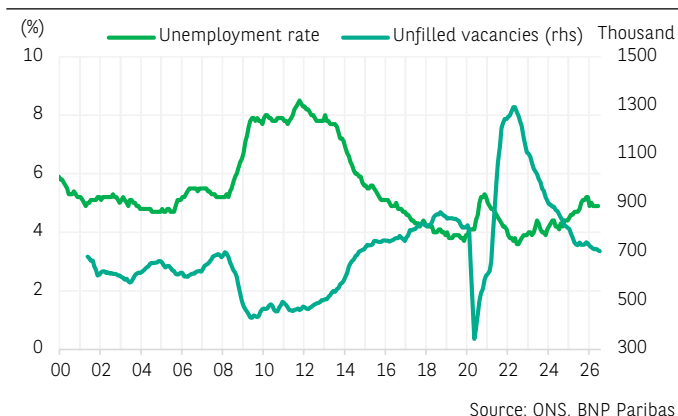
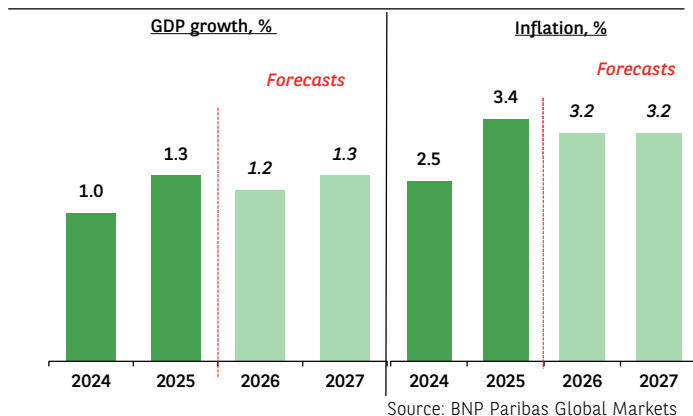
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UK growth remains steady, despite a series of shocks

UK labor market: fragile stability amidst weakening demand

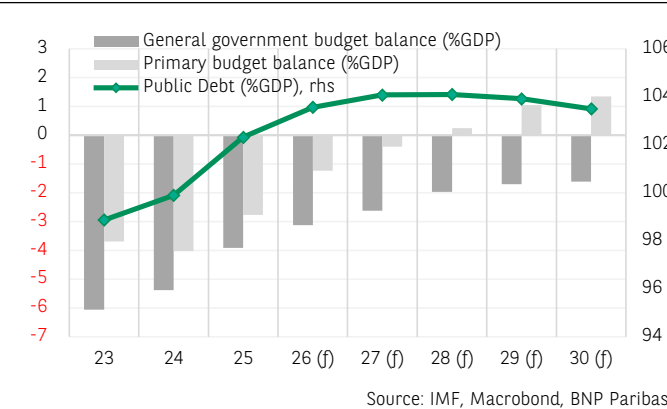
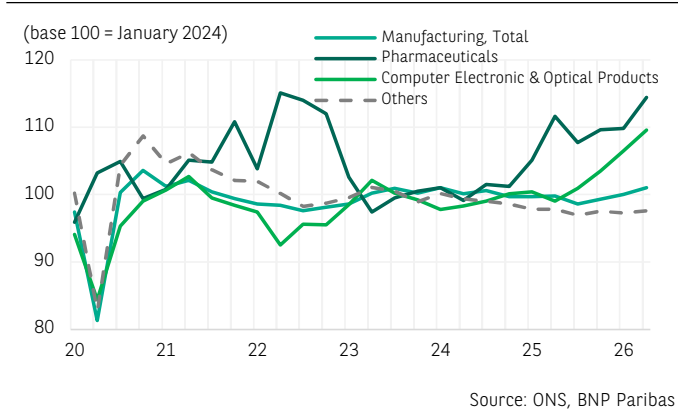
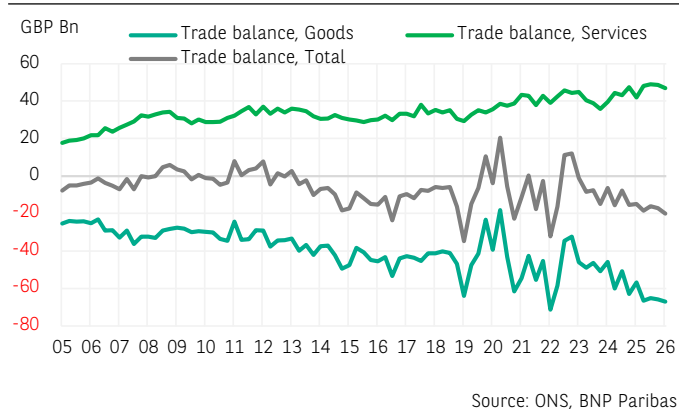
Inflationary pressures are softening on the labor market



The balance of goods and services remains structurally in deficit

Manufacturing output rebounds, driven by the acceleration of the AI cycle

Room for manoeuvre to continue fiscal consolidation is limited

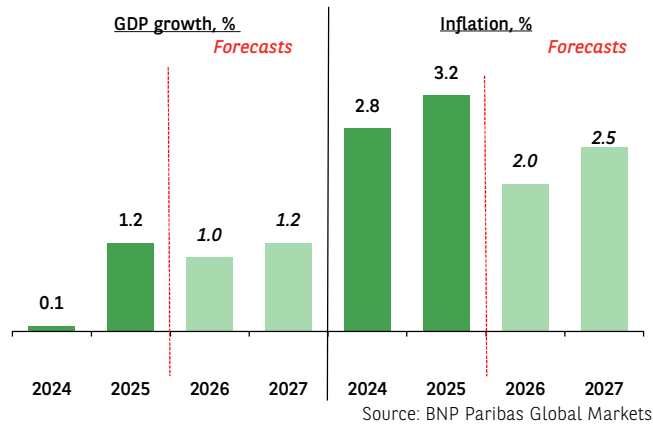


Japan: Growth under strains

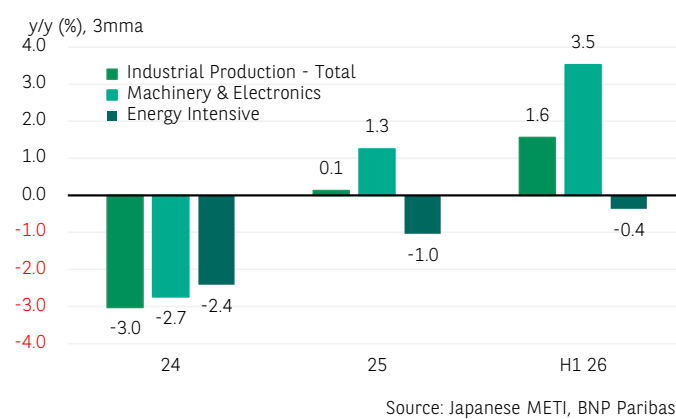
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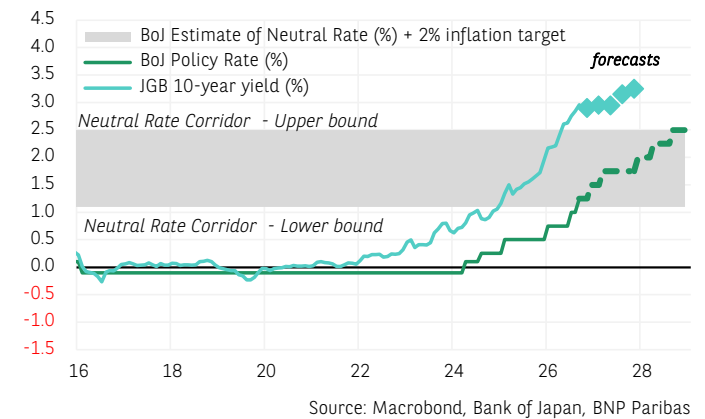
Growth above potential, inflation above target



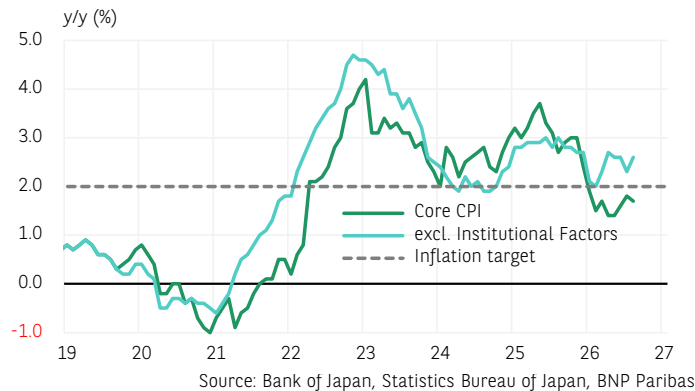
Machinery & Electronics lead the manufacturing recovery



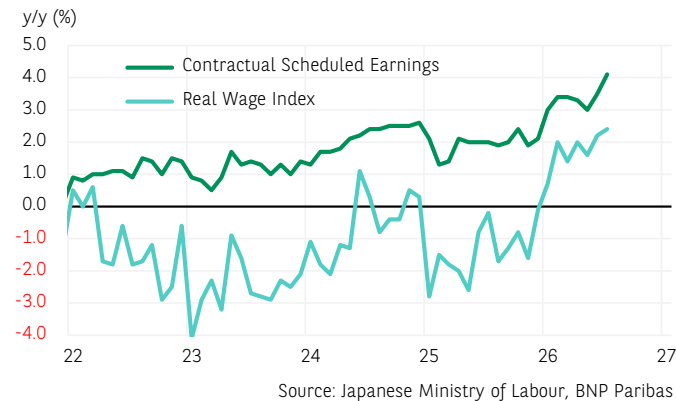
The bond market is tightening faster than the BoJ



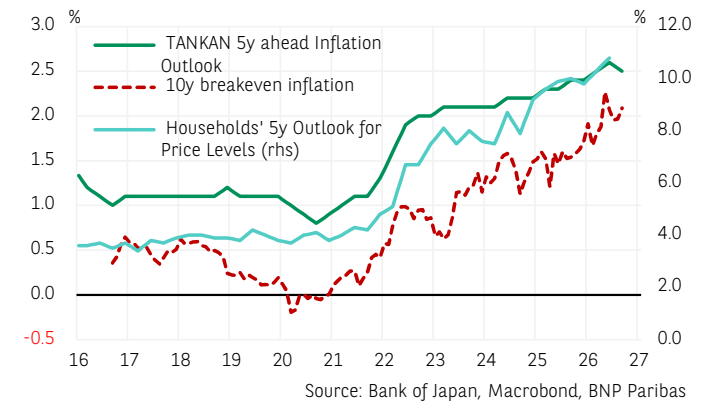
Energy subsidies mask Japan's underlying price pressures



Nominal wage growth firmly anchored above 3%



Inflation expectations confirm the end of deflation



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